Town of Paonia

Offices of the Mayor & Board of Trustees

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Letter to Town of Paonia Citizens

A posting was made that we feel contained false and misleading accusations about the Town of Paonia Administrator, the Mayor, and Board of Trustees that we would like to address. We the Town's elected representatives would like to address what we feel are misrepresentations in the posting as follows:

Statements were made about the reasons for our Administrator leaving his previous position. Mr. Wynn was interviewed by the Trustees publicly and disclosed that he had filed a Whistle Blower Discrimination Lawsuit against his previous employer.

Paonia's Form of Government: The overarching theme of the postings around Town and social media campaign is that the Administrator is making all the decisions for the Town without any direction or oversight from the elected body and these decisions are being categorized as consistently bad or negative for the Town. These statements misrepresent publicly available facts and events. The Mayor and Trustees rely on input from the Town Administrator and Department heads in order to make decisions necessary for the good governance and operation of the Town. The Town Administrator and Town Staff implement the decisions and direction of the Trustees. This is how Paonia's Administrator/Trustee form of municipal government operates. <u>All information provided here is discussed publicly and is available on the Town's website.</u>

Grant and Loan Funding for Infrastructure: The most significant recent achievement for our small Town is being awarded a total of $10M in grants (50%) and low-interest loans (50%) to finally (after decades of deferred maintenance) address needed repairs and replacements to ensure we continue to provide drinking water for the 1500 households and businesses we serve. Our 2M gallon treated water tank is currently being relined as required by the state, long needed water meters on our most important mountain spring complexes (which is the sole source of Paonia's drinking water) are being installed and we are also replacing 10,000 feet of 50+ year old rusted steel pipe that provides water to the majority of our users. All three projects combined have a price tag of $10,803,000.

Paonia does not have this kind of cash on hand and none of these projects are remotely possible without having access to this level of cash up front. Just like someone buying a house needs to take out a loan. However, the author(s) believe that the Town being awarded grants and low-interest loans to address the Town's aging drinking water infrastructure is not the correct path forward. Being awarded these incredibly competitive grants and loans is the ONLY way to afford these expensive projects and would not have been possible without the leadership, level of competence and long-range planning provided by our Town Administrator and the team of staff that he has put together. Your elected body firmly believe that these are accomplishments to celebrate.

Another major accomplishment is the $3M project, to completely reconstruct a dangerous intersection that has been nearly fully funded through a state and a federal grant, with an expected Town match of just under $33,000. This kind of grant funding for street repairs is unprecedented for a small town like Paonia. The level of coordination between federal, state, county and school board needed to secure this funding required a professional Administrator that knows how to expertly navigate each level of government.

Staffing: The posting includes a statement that our Administrator "grew the bureaucracy." This is not accurate. The Trustees approve staffing levels based on available funds, and anticipated service-level

deliveries that they expect the Town to receive from staff. The Town Administrator and his team fill those vacancies to meet the desired service-delivery levels. The Town Administrator and Trustees have filled vacancies in staffing that have existed for years through carefully changing the culture of Town employment into a high-performing team of professional staff.

In order for these infrastructure projects to be successfully and continuously managed while also providing the daily services expected by citizen's requires adequate staff. Consequently, two more full-time and two seasonal Park positions were approved by the Trustees for 2026. Referring to adequate staffing as "growing bureaucracy," ignores that these infrastructure improvements were not previously possible because of a lack of adequate staff.

Town Finances and Accountability: Beginning approximately 19 years ago the Town of Paonia had almost $500,000 stolen by a single employee over a period of six years. Current Town staff and elected officials acknowledge this hard history, and more progress has been made in the last 2.5 years to protect the Town finances and improve transparency in financial reporting than has ever been made in the Town's history. Every decision about Town finances is made to ensure that this history is not repeated. Specifically, through our Town Administrator's own initiative, the Town's Municipal Code now requires the use of a fully defined purchasing policy for any procurement of goods or services. This forward thinking helped secure internal controls so that future administrations operate in a way that is secure and defined.

A robust set of internal controls have been put in place ensuring the Town's financial information (money) is not "controlled" by the Administrator "alone" as has been erroneously asserted. These internal controls, recommended by our Town Administrator and approved by the Trustees, include the use of Caselle government accounting software, and a third-party, contracted financial management firm, Professional Management Solutions both of which track, report, and reconcile the disposition of all public funds.

The Town relies on a second level of internal control provided by the Finance Committee consisting of the Mayor and a Trustee. The Committee reviews every invoice for services rendered and asks questions on the expenditures and associated budget record keeping allocations, etc. These questions must be answered to the Committee's satisfaction before an invoice can be included on the list of disbursements to be paid. Payment requires Trustee approval which is requested at every meeting. The Committee members both sign each check and ensure that every check issued or voided is accounted for.

Our Town Administrator has instituted budget reporting every month that had not been provided previously. This includes a running total of spending to date versus budgeted amounts for every line item in every fund within the Town's budget and a summary of the current balance in each bank and investment accounts. This reporting is included in the first regular monthly meeting. This level of up-to-date information is vital to decision making throughout the year especially when unexpected expenses occur like broken sewer service lines, broken water lines, vehicle maintenance, etc.

Capital Improvement Planning: Another planning tool introduced by our Town Administrator is a five-year Capital Improvement Plan. This is a simple mechanism for each Department to assess what is needed to improve existing infrastructure and replace aging or obsolete equipment over a rolling five-year period. This Plan offers the Trustees and the public with a five-year snapshot with priorities identified by staff for the immediate budgeting cycle. The budget and these major capital improvements and purchases were discussed in five budget meetings held throughout the third and fourth quarters of 2025 and are described in detail on pages 68 – 76 and 145 of the 2026 annual budget report. This posting refers to this long-term planning as "shopping," it is not. It's responsible planning regarding the use of public funds to ensure the Town can continue operating under all known and unforeseen circumstances. This level of financial planning is considered good governance. It's part of our fiduciary duty and is what we were elected to do.

Trees: The posting asserts that the 2026 budget does not include funding for tree maintenance and that the Administrator told the citizen Tree Board to "pound sand." Again, neither are true. Two new budget line items for trees totaling $40,000 are in the approved FY 2026 Budget: Streets 10-45-71 Right-of-Way Maintenance $25,000 and Parks 10-46-71 Right-of-Way Maintenance $15,000. The Trustees, through

Resolution 03-26, temporarily suspended the Tree Board due to expired terms and a resignation, leaving it without a quorum, while the Town hires a contracted, certified Arborist consultant to assist with long-term tree planning and maintenance. The Town is providing what the former Board asked for; a certified Arborist consultant and funding for tree maintenance. Many of our older trees are beyond their life expectancy and will need to be removed and replaced. We will work with the certified arborist to develop a plan for this.

Cameras: The proposal to install motion activated cameras in Town Park, Town-owned buildings, and critical water and sewer buildings was the topic of discussion during at least six public meetings held between October 2024 and December 2025. The installation of these cameras allow us to identify vandalism that has occurred more quickly and hold the perpetrators accountable. These are not face recognition, or private property surveillance apparatus. Instead they are a tool used routinely across the country in cities and towns to monitor and protect the public use of publicly provided spaces.

It is our firm belief that the Town of Paonia would not be in the enviable position it's in today with ample funding to address long neglected critical infrastructure upgrades, with policies in place that ensure public funds are protected, and an approach to administration that treats all citizens equally and fairly if our Town Administrator hadn't been hired nearly three years ago.

We know this unified and published statement will not answer all of the questions or address every citizen's concerns. We are making this statement to ensure that the citizens of Paonia understand the decisions that we've made and that we are grateful for the progress the Town has been able to make and the services we are all being provided. All this has been made possible under the leadership of our Town Administrator, Stefen Wynn, and the highly performing team of professionals working on our collective behalf.